Type MS · Should a trader form a partnership (or an LLP)?

Answer 1 of 7 · Question 1 part b · 5 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

**1 (a)** **Award marks as indicated with label.**

| Gurpreet<br>Income statement for the year ended 31 December 2019 | | |
|---|---|---|
| | **$** | **$** |
| Revenue | | 81 385 **(1)** |
| Cost of sales | | |
| Opening inventory | 15 000 **(1)** | |
| Purchases | 45 920 **(1)** | |
| Closing inventory | (12 000) **(1)** | |
| | | (48 920) **(1of)** |
| Gross profit | | 32 465 **(1of)** |
| Add income | | |
| Allowance for doubtful debts | | 150 **(1)** |
| Profit on disposal of motor vehicle<br>$5 760 **(1)** - $5 000 **(1)** = $760 **(1of)** | | 760 **(3)** |
| | | 33 375 |
| Less expenses | | |
| Irrecoverable debts | 575 **(1)** | |
| Motor vehicles – depreciation charge<br>$40 000 **(1)** x 10%=$4 000 **(1of)** | 4 000 **(2)** | |
| Office expenses<br>$16 780 **(1)** - $1 280=$15 500 **(1)** | 15 500 **(2)** | |
| Wages<br>$24 375 **(1)** + $1 125=$25 500 **(1)** | 25 500 **(2)** | |
| | | (45 575) **(1of)** |
| Loss for the year | | 12 200 **(2/1of)** |

**(20)**

## Type MS · Should a trader form a partnership (or an LLP)?

### Answer 1 of 7 · Question 1 part b · 5 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **Award 2 marks for points in favour and 2 marks for points against. Award 1 mark for decision.**<br><br>**For example**<br>The new partner will provide additional capital **(1)** and new skills and expertise **(1).**<br>However, Gurpreet has to share the profit **(1)** and will lose full control of decisions **(1).**<br>Gurpreet should form a partnership **(1).** | **(5)** |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 2 of 7 · Question 12 part b · 2 marks

2023 JUN · Paper 01 (regional R) · find part b in this mark scheme extract

**12a** **Award marks as indicated.**

| Characteristic | Private sector | Public sector |
|---|---|---|
| Makes a profit | ✓ (1) | |
| Funded by the government | | ✓ (1) |
| Provides a service to the community | | ✓ (1) |

**(3)**

| Question Number | Answer | Mark |
|---|---|---|
| **12b** | **Award marks as indicated.**<br><br>Additional finance **(1)**<br>Additional expertise **(1)**<br>Shared ideas **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

**TOTAL FOR QUESTION 12 = 5 MARKS**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **Award marks as indicated.**<br><br>**Scenario** / **Accounting concept**<br>Adjusting expenses for other receivables — Accruals **(1)**<br>Creating an allowance for doubtful debts — Prudence **(1)**<br>Recording goods taken for personal use — Business entity **(1)** | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)(i)** | **Award mark as indicated**<br>Profitability is the ability to generate profits from the activities of the business **(1).** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)(ii)** | **Award mark as indicated**<br>Liquidity is the ability of a business to pay off its liabilities **(1).** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **2(c)** | **Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.**<br><br>**Sample answer**<br><br>Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**.<br><br>Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**.<br><br>Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**.<br><br>Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**.<br><br>Overall profitability and liquidity of the business has improved **(1)** | **(5)** |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part f in this mark scheme extract

| Question number | Indicative content | Mark |
|---|---|---|
| 2(e) | • Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss.<br>• Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business.<br>• Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position.<br>The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate. | (6) |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| Level 1 | 1 - 2 | Some understanding of the accounting principles demonstrated but explanation has not been developed adequately. |
| Level 2 | 3 - 4 | Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response. |
| Level 3 | 5 - 6 | Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response. |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part f in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(f) | **Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.**<br><br>**Sample answers**<br><br>A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**.<br><br>A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**.<br><br>If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**.<br><br>If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**.<br><br>Any supported decision **(1)**. | **(5)** |

**(TOTAL FOR QUESTION 2 = 25 marks)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **Award mark as indicated.**<br><br>**Advantages Max (1)**<br>Additional capital **(1)**<br>More expertise **(1)**<br>Shared work load **(1)**<br><br>**Disadvantages Max (1)**<br>Shared profits **(1)**<br>Disputes **(1)**<br>Lack of control **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|

**2(b)** **Award marks as indicated.**

**Able and Beena**
**Appropriation account for the year ended 30 April 2021**

| | $ | $ |
|---|---|---|
| Profit for the year | | 26 550 **(1)** |
| Add interest on drawings | | |
| Able | 1 600 **(1)** | |
| Beena | 1 050 **(1)** | 2 650 |
| | | 29 200 |
| Less interest on capital | | |
| Able | (6 000) **(1)** | |
| Beena | (2 000) **(1)** | (8000) |
| Less Salary- Beena | | (7 200) **(1)** |
| Profit available for distribution | | 14 000 |
| Profit share | | |
| Able | | 10 500 (**1of**) |
| Beena | | 3 500 **(1of)** |

**(8)**

## Type MS · Should a trader form a partnership (or an LLP)?

### Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c) | **Award marks for each correct date detail and amount in combination** | (6) |

**Current Account - Beena**

| Date | Details | Amount $ | Date | Details | Amount $ |
|---|---|---|---|---|---|
| 1 May 2020 | Balance b/d | 2 750 | 30 April 2021 | Appropriation/ interest on capital | 2 000 **(1of)** |
| 30 April 2021 | Drawings | 10 500 **(1)** | | Appropriation/ salary | 7 200 **(1)** |
| | Appropriation/ interest on drawings | 1 050 **(1of)** | | Appropriation/ Profit share | 3 500 **(1of)** |
| | | | | Balance c/d | 1 600 |
| | | 14 300 | | | 14 300 |
| 1 May 2021 | Balance b/d | 1 600 **(1of)** | | | |

| Question number | Answer | Mark |
|---|---|---|
| 2(d) | **Award mark as indicated**<br><br>Partner may have taken more money than allowed.<br><br>**Accept any other appropriate responses** | (1) |

| Question number | Answer | Mark |
|---|---|---|
| 2(e) | **Award marks as indicated** | (3) |

| Transaction | Increase | Decrease | No effect |
|---|---|---|---|
| A partner withdraws goods for their own use. | ✓ **(1)** | | |
| A partner purchases stationery for the business from their own monies. | | ✓ **(1)** | |
| A partner introduces capital into the business | | | ✓ **(1)** |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(f) (i) | **Award 1 mark for each valid point up to a max of 3 marks.**<br><br>**Sample answer**<br><br>Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)**<br><br>**Accept any other appropriate responses** | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 2(f) (ii) | **Award 1 mark for each valid point up to a max of 2 marks.**<br><br>**Sample answer**<br><br>Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

**(Total for Question 2 = 25 marks)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 5 of 7 · Question 1 part b · 5 marks

2024 JUN · Paper 02 · extract 1 of 2 · find part b in this mark scheme extract

| Number | | |
|---|---|---|
| 1(a)(i) | **Award marks as indicated.** | **(15)** |

**Ahmed and Malik**
**Income Statement**
**For the year ended 31 March 2024**

| | $ | $ |
|---|---|---|
| Revenue | | 192 000 **(1)** |
| Cost of sales | | |
| Opening inventory | 12 260 | |
| Purchases | 86 321 **(1)** | |
| Purchase returns | (3 298)**(1)** | |
| Carriage inwards | 645 **(1)** | |
| Closing inventory | (14 265)**(1fb)** | |
| Cost of sales | | (81 663)**(1)** |
| Gross profit | | 110 337**(1of)** |
| Discount received | | 663 **(1)** |
| | | 111 000 |
| Expenses | | |
| Rent rates and insurance | 10 000**(1)** | |
| Carriage outwards | 1 300**(1)** | |
| Depreciation – motor vehicles | 5 000**(1)** | |
| Discount allowed | 678**(1)** | |
| Motor expenses | 1 854 | |
| Provision for irrecoverable debts | 720 **(1)** | |
| Wages and salaries | 44 448 | |
| | | 64 000 **(1)** |
| Profit for the year | | 47 000**(1of)** |
| | | |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 5 of 7 · Question 1 part b · 5 marks

2024 JUN · Paper 02 · extract 2 of 2 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(a)(ii)** | **Award marks as indicated.**<br><br>**Ahmed and Malik**<br>**Appropriation Account**<br>**For the year ended 31 March 2024** | **(5)** |

| | $ | $ |
|---|---|---|
| Profit for the year | | 47 000 **(1of)** |
| Interest on capital –Ahmed<br>- Malik | (2 500)<br>(1 500) **(1fb)** | |
| Salary - Ahmed | (10 000) **(1)** | (14 000) |
| Residual profit | | 33 000 **(1of)** |
| Share of profits – Ahmed<br>- Malik | | 16 500<br>16 500 **(1offb)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1(b)** | **Award up to 2 marks for an explanation of advantages and up to 2 marks for an explanation of disadvantages.**<br>**Award 1 mark for overall advice.**<br><br>**Sample answer**<br><br>If the partners introduce a third partner the new partner may bring in additional skills and expertise **(1)** which may help the partnership to increase its revenue/profit. **(1)**<br><br>However, introducing a new partner may result in conflict between the partners **(1)** which may have a negative effect on the company's efficiency resulting in lower profits. **(1)**<br><br>I would advise the partners to proceed with their proposal as they may be able to increase their profit in the long-term. **(1)**<br><br>**Accept any other appropriate responses** | **(5)** |

**TOTAL FOR QUESTION 1 = 25 MARKS**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **Award one mark for each correct reason.**<br><br>Able to provide cover for holidays / sharing workload **(1)**<br><br>Additional skills/experience **(1)**<br><br>Sharing risks /losses **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2 (b)(i)** | **Award marks as indicated.**<br><br>**Haitai and Ming**<br><br>**Manufacturing account for the year ended 30 June 2024** | **(13)** |

| | $ | $ | |
|---|---|---|---|
| Opening inventory of raw materials | 68 000 | | |
| Purchases | 550 000 | | |
| Carriage inwards | 42 500 | | **(1)** |
| Closing inventory of raw materials | (72 000) | | |
| **Cost of raw materials consumed** | | 588 500 | **(1of)** |
| Direct expenses | | 26 950 | **(1)** |
| Direct wages | | 127 500 | **(1)** |
| **Prime cost** | | 742 950 | **(1of)** |
| Depreciation | 8 000 | | **(1)** |
| Overheads | 138 000 | | **(1)** |
| Supervisor's salary | 45 000 | | **(1)** |
| Insurance | 35 325 | | **(1)** |
| Rent and rates | 187 500 | | **(1)** |
| | | 413 825 | **(1)** |
| | | 1 156 775 | |
| Opening work in progress | 85 278 | | |
| Closing work in progress | (96 750) | | |
| | | (11 472) | **(1)** |
| **Production cost** | | 1 145 303 | **(1of)** |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)(ii)</td><td>Award marks as indicated.<br><br>$1 086 913 (5) W<br><br>Working<br><br>$1 145 303 – $7 065 (1) – $37 500 (1) – $3 200 (1) – $10 625 (1)<br>= $1 086 913 (1)<br><br>
<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Draft production cost</td><td></td><td>1 145 303</td></tr>
<tr><td>Insurance</td><td>(7 065) (1)</td><td></td></tr>
<tr><td>Rent and rates</td><td>(37 500) (1)</td><td></td></tr>
<tr><td>Depreciation</td><td>(3 200) (1)</td><td></td></tr>
<tr><td>Carriage</td><td>(10 625) (1)</td><td></td></tr>
<tr><td></td><td></td><td>(58 390)</td></tr>
<tr><td>Corrected production cost</td><td></td><td>1 086 913 (1)</td></tr>
</table></td><td>(5)</td></tr>
</table>

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(c)** | **Award up to four marks for explaining the purpose of a partnership agreement.**<br><br>**Award one mark for a decision.**<br><br>**Sample answers**<br><br>The partnership agreement will allow partners to know their rights and responsibilities **(1)** which can be referred to in the event of any disputes **(1).**<br><br>The partnership agreement will avoid any disputes between the partners **(1)** which can slow down the decision-making process of the business **(1)**<br><br>If the partnership does not have an agreement, then the provisions of the Partnership Act 1890 would apply **(1)** which provides for each partner to receive an equal share of profits and losses**. (1)**<br><br>I believe the partners should draw up a formal partnership agreement **(1)**<br><br>**Accept any other appropriate responses** | **(5)** |

**(Total for Question 2 = 25 marks)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c.i in this mark scheme extract

**2 (a)**

**Award marks as indicated.**

**Victoria and Albert**

**Appropriation account for the year ended 30 April 2025**

| | $ | $ | |
|---|---|---|---|
| Profit for the year | | 80 000 | |
| **Interest on drawings:** | | | |
| Victoria | 90 | | |
| Albert | 60 | | |
| | | 150 | **(1)** |
| **Interest on capital:** | | | |
| Victoria | 2 500 | | |
| Albert | 1 500 | | |
| | | (4000) | **(1)** |
| **Salary: Victoria** | | (12 000) | **(1)** |
| **Residual profit** | | 64 150 | **(1of)** |
| **Share of profit:** | | | |
| Victoria | | 32 075 | **(1of fb)** |
| Albert | | 32 075 | |
| | | 64 150 | |

**(5)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award marks as indicated.** | **(15)** |

**Victoria and Albert**

**Statement of financial position at 30 April 2025**

| | $ | $ | $ |
|---|---|---|---|
| **Assets** | | | |
| **Non-current assets** | | | |
| Land and buildings | | | 100 000 |
| Fixtures and fittings | | | 40 000 |
| Motor vehicles | | | 15 000 |
| | | | 155 000 **(1)** |
| **Current assets** | | | |
| Inventory | | 14 320 | |
| Trade receivables | | 19 500 **(1)** | |
| Other receivables | | 350 **(1)** | |
| Petty cash | | 250 | |
| | | | 34 420 **(1)** |
| **Total assets** | | | 189 420 **(1of)** |
| **Equity and liabilities** | | | |
| **Equity** | **Victoria** | **Albert** | |
| Capital account | 50 000 **(1)** | 30 000 **(1)** | 80 000 |
| Current account | 48 185 **(1)** | 30 015 **(1)** | 78 200 |
| **Total equity** | 98 185 | 60 015 | 158 200 **(1of)** |
| **Current liabilities** | | | |
| Partnership loan | | 8 000 **(1)** | |
| Trade payables | | 12 000 | |
| Other payables | | 650 **(1)** | |
| Bank | | 10 570 **(1)** | |
| **Total liabilities** | | | 31 220 **(1of)** |
| **Total equity and liabilities** | | | 189 420 **(1of)** |

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(c) (i)** | **Award one mark for identification of an advantage and one mark for valid development.**<br><br>**Sample answer**<br><br>As the LLP is considered a separate legal entity each partner's liability would be limited to their investment in the partnership **(1)** Therefore, their personal assets cannot be used to satisfy business debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(c) (ii)** | **Award one mark for identification of a reason and up to two marks for valid development.**<br><br>**Sample answer**<br><br>Goodwill is an intangible asset which adds value **(1)** to a partnership therefore when a new partner joins an existing partnership he will benefit from an inherent value **(1)** which will have built up due to the partnership's reputation etc **(1)**<br><br>**Accept any other appropriate responses** | **(3)** |

**TOTAL FOR QUESTION 2 = 25 MARKS**